



2008 Annual Tariff Report

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Powercor Australia
40 Market Street
Melbourne 3000

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1. CURRENT TARIFFS

This document provides information for distribution customers on current and closed tariffs, annual adjustment variables and recent updates of information provided in the Tariff Strategy Report.

1.1 Regulatory Arrangements

Use of Powercor Australia's distribution systems and a number of other excluded services are regulated by the Essential Services Commission (ESC). Distribution tariffs must satisfy the constraints set out in the *Electricity Distribution Price Review 2006-10 Final Decision Volume 2 Price Determination* ("Determination").

1.1.1 Distribution Tariffs

Distribution tariffs must conform to price controls and rebalancing controls set out in the *Determination*. The *Determination* provides a price control formula that specifies a maximum percentage change to annual tariffs. The maximum limit is based on four controls:

- *X-factor*: X-factor accounts for the expectation that distributors will achieve year-on-year efficiency gains and that these gains will be passed on to consumers. For 2008, the *Determination* requires Powercor to deliver an average real decrease in distribution tariffs of 2.5 percent.
- *S-factor*: S-factor provides an incentive for distributors to meet service obligations. Tariffs may be adjusted where service targets are exceeded and customers are compensated through reduced tariffs if service provision is not to the required standards.
- *L-factor*: L-factor ensures tariffs accurately reflect licence fees. Distributors must pay a licence fee, which is recovered through distribution tariffs.
- *CPI*: tariffs are indexed to account for inflation.

The price control formula constrains aggregate tariff revenue increases to the movement of these four factors. In addition, the *Determination* specifies a rebalancing control that prohibits individual tariff increases of more than $CPI + 2$ per cent (adjusted for S-Factor and L-Factor).

1.1.2 Transmission Tariffs

Transmission use of system charges are levied on Powercor Australia by Vencorp and SP Ausnet. Powercor Australia recovers these costs through transmission tariffs regulated by the ESC. Transmission tariffs must satisfy the constraints set out in the *Determination*. Increases to individual transmission tariffs have an upper limit of the real average increase in transmission costs plus 2 per cent. The average increase in transmission costs is capped at 18 per cent per year.

1.1.3 Excluded Services and Prescribed Metering

Since 1 January 2006, Powercor Australia has been exclusively responsible for providing metering services to distribution customers with annual consumption less than 160 MWh/pa who do not have a remotely read interval meter. Metering services include meter provision and meter data services. These services are regulated as a prescribed service. This approach is similar to the tariff basket approach to distribution and transmission tariffs for calendar years 2006-10. The M-factor performance incentive was removed in 2007 in accordance with the Commission's updated *Determination* dated 28 August 2007.

Prescribed metering services must satisfy constraints set out in the *Determination*. For the period 2006-10, prescribed metering service tariffs increase 20% per annum in real terms. Individual prescribed metering provision and meter data services tariffs for 2007-10 are also constrained as provided in section 4.6.6 of the *Determination*.

1.2 Tariffs.

The following distribution, transmission and prescribed metering tariffs are available to Powercor customers:

1.2.1 Distribution Tariffs

Powercor Australia's 2008 distribution tariffs are shown in the tariff schedule.

1.2.2 Transmission Tariffs

Powercor Australia's 2008 transmission tariffs are shown in the tariff schedule.

1.2.3 Network Tariffs

Powercor Australia's 2008 network tariffs are shown in the tariff schedule.

1.2.4 Prescribed Metering Tariffs

Powercor Australia's 2008 prescribed metering provision and prescribed meter data service tariffs are shown in the tariff schedule.

1.2.5 Eligibility of Each Tariff

Powercor Australia takes into account the customer's load and connection characteristics to determine which distribution tariff will be assigned to a distribution customer. Criteria for assigning tariffs include: whether the customer is residential or non-residential, whether the customer has an interval or accumulation meter, coincident demand requirements and whether the customer requires a high or low voltage supply.

Table 1 outlines Powercor Australia's network tariffs and defines connection characteristics for each tariff.

Table 1: Eligibility of Network Tariffs

Tariffs Available to New and Existing Customers in 2008

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (kW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
RESIDENTIAL CUSTOMERS							
D1	Residential Single Rate	<1,000	<120	7 days, 24 hrs	N/A	– 1-phase non-interval metered residential customers Note: tariff only open to new customers if a suitable interval meter is not installed	None
D2.DK	Docklands Two Rate 5d	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	– 1-phase residential customers with a controlled load connected to nominated feeders supplying the Docklands area. – Residential customers without a controlled load connected to nominated feeders supplying the Docklands area	1-phase electric hot water service with a total load of <30Amps. <u>Switching Times:</u> Mon-Sun 2300-0700
D3	Residential Interval	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	– Interval metered residential customers	None
D3.CS	ClimateSaver Interval	<1,000	<120	01 Nov – 31 Mar	01 Apr – 31 Oct	– Interval metered residential customers on D3 tariff with dedicated circuit connected to a reverse-cycle air-conditioning load Notes: Dedicated circuit must include a primary reverse-cycle air-conditioner (RCAC) load with the following specification: - must be split system and have a minimum output capacity of 4.0kW on the heating cycle - must have a minimum 3 star rating according to the Australian Energy labelling program OR - Ducted system or inverter technology system, regardless of star rating or whether they are a split system Provided primary RCAC meets requirements, any additional hard-wired RCAC or hard-wired electric heater may be connected to the dedicated circuit	None

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (kW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
D3.HW	Hot Water Interval	<1,000	<120	N/A	7 days	Interval metered 1-phase residential customers on D3 tariff with dedicated circuit connected to a controlled load	1-phase electric hot water service with a total load of <30Amps. <u>Switching Times:</u> Any 7-day switching configuration (at Powercor's discretion) providing a total of up to 8 hours supply daily between 2100-0700 only.
NON-RESIDENTIAL CUSTOMERS							
ND1	Non-Residential Single Rate	<1,000	<120	7 days, 24 hrs	N/A	1-phase non-interval metered non-residential customers 1-phase, non-interval metered, builder's temporary supplies Note: tariff only open to new customers if a suitable interval meter is not available	None
ND5	Non-Residential Interval	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Interval metered non-residential customers - Interval metered builder's temporary supply	None
D2.DK	Docklands Two Rate 5d	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Non-residential customers connected to nominated feeders supplying the Docklands area	None
PL2	Unmetered Supplies	<1,000	N/A	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Customers with an approved unmetered load Note: New customer connections are required to install a load-limiting device	None
LARGE LOW VOLTAGE CONTRACT DEMAND CUSTOMERS							
DL	Large Low Voltage Demand	<1,000	≥250	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers	None
DL.A	Large Low Voltage Demand A	<1,000	≥250	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers connected to nominated feeders	None
DL.C	Large Low Voltage Demand C	<1,000	≥250	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers connected to nominated feeders	None
DL.DK	Large Low Voltage Demand Docklands	<1,000	≥120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers connected to nominated feeders in Docklands area	None
DL.CXX	Large Low Voltage Demand CXX	<1,000	≥120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers with demands up to 250kW	None

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (kW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
DL.CXXR	Large Low Voltage Demand Embedded Network Residential	<1,000	≥120	Mon-Sun 0700-2300	Mon-Sun 2300-0700	- Large customers with demand up to 250kW either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly residential	None
DL.CXXNR	Large Low Voltage Demand Embedded Network Non-Residential	<1,000	≥120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Large customers with demands up to 250kW either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly non-residential	None
DL.R	Large Low Voltage Demand Embedded Network Residential	<1,000	≥250	Mon-Sun 0700-2300	Mon-Sun 2300-0700	- Large customers either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly residential	None
DL.NR	Large Low Voltage Demand Embedded Network Non-Residential	<1,000	≥250	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Large customers either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly non-residential	None
HIGH VOLTAGE CONTRACT DEMAND CUSTOMERS							
DH	High Voltage Demand	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers	None
DH.A	High Voltage Demand A	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers connected to nominated feeders	None
DH.C	High Voltage Demand C	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers connected to nominated feeders	None
DH.D1	High Voltage Demand D1	≥1,000 and ≤22,000	≥20,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with dual parallel dedicated 22kV jumbo feeders connected to Brooklyn zone substation (BLT)	None
DH.D2	High Voltage Demand D2	≥1,000 and ≤22,000	≥8,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with a high load factor (>80%) connected to 11kV high voltage feeders with interruptible supply from Laverton North (LVN) zone substation	None

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (kW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
DH.D3	High Voltage Demand D3	≥1,000 and ≤22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with a dedicated feeder of length less than 50m.	None
DH.D4	High Voltage Demand D4	≥1,000 and ≤22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with 2 shared overhead feeders of less than 1km from the Powercor Supply point	None
DH.D5	High Voltage Demand D5	≥1,000 and ≤22,000	≥12,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with a single dedicated underground feeder and a single shared overhead feeders and less than 1km from Powercor Australia supply point	None
DH.DK	High Voltage Demand Docklands	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers connected to nominated feeders in the Docklands Area	None
DH.R	High Voltage Demand Embedded Network Residential	≥1,000 and ≤22,000	≥1,000	Mon-Sun 0700-2300	Mon-Sun 2300-0700	- High voltage customers either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly residential	None
DH.NR	High Voltage Demand Embedded Network Non-Residential	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly non-residential	None
SUBTRANSMISSION VOLTAGE DEMAND CUSTOMERS							
DS.A	Subtransmission Demand A	>22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Subtransmission voltage customers supplied by a Altona terminal station - Brooklyn terminal station 66kV loop	None
DS.G	Subtransmission Demand G	>22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Subtransmission voltage customer	None
DS.S	Subtransmission Demand S	>22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Subtransmission voltage customer directly supplied from both Altona terminal station and Brooklyn terminal station	None

Table 2: Closed Tariffs

Tariffs Only Available to Existing Customers Already Assigned this Tariff @ 1 January 2008. (closed to new customers)

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (KW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
RESIDENTIAL CUSTOMERS							
D1	Residential Single Rate	<1,000	<120	7 days, 24 hours	N/A	- Residential multi-phase customers	None
D2	Residential Two Rate 5d	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Residential customers without a controlled load who requested a 2-rate tariff - Residential customers with a controlled load - Residential customers with embedded generation (ie solar cells)	
DD1	Dedicated Circuit	<1,000	<120	N/A	7 days	- Residential customers on D1 tariff with dedicated circuit connected to a controlled load	Electric hot water service Slab heating / heat banks
D1.CS	ClimateSaver	<1,000	<120	01 Nov – 31 Mar	01 Apr – 31 Oct	- Residential customers on D1 tariff with dedicated circuit connected to a reverse-cycle air-conditioning load Notes: Dedicated circuit must include a primary reverse-cycle air-conditioner (RCAC) load with the following specification: - must be split system and have a minimum output capacity of 4.0kW on the heating cycle - must have a minimum 3 star rating according to the Australian Energy labelling program OR - Ducted system or inverter technology system, regardless of star rating or whether they are a split system - Provided primary RCAC meets requirements, any additional hard-wired RCAC or hard-wired electric heater may be connected to the dedicated circuit	None
NON-RESIDENTIAL CUSTOMERS							
ND1	Non-Residential Single Rate	<1,000	<120	7 days, 24 hours	N/A	- Non-residential multi-phase customers	None
ND1.R	Non-Residential Single Rate (R)	<1,000	<120	7 days, 24 Hours	N/A	- Non-residential road bridge heating	None

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (KW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
ND2	Non-Residential Two Rate 5d	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Non-residential customers who requested a 2 rate tariff - Non-residential customers with a controlled load	
ND3	Non-Residential Two Rate 7d	<1,000	<120	Mon-Sun 0700-2300	Mon-Sun 2300-0700	- Non-residential customers	None
DD1	Dedicated Circuit	<1,000	<120	N/A	7 days	- Non-residential customers with dedicated circuit connected to a controlled load	Electric hot water service Slab heating / heat banks
LARGE LOW VOLTAGE CONTRACT DEMAND CUSTOMERS							
DL.S	Large Low Voltage Demand S	<1,000	≥120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Large customers who were on retail tariff "L", or "V" as at 1st April 1998	None

1.3 Parent Tariffs

Table 3 maps parent tariff categories to sub categories and descriptions.

Table 3: Parent Tariffs

PARENT TARIFF DESCRIPTION	PARENT TARIFF CODE	SUB TARIFF DESCRIPTION	TARIFF CODE
Residential single rate	D1	Climate Saver	D1.CS
Residential Interval	D3	Climate Saver Interval	D3.CS
Residential single rate	D1	Dedicated Circuit	DD1
Non-Residential Single Rate	ND1	Dedicated Circuit	DD1
Residential Interval	D3	Hot Water Interval	D3.HW

1.4 2008 Tariff Changes

Powercor's network tariffs decreased uniformly across most tariff classes in accordance with the price controls and rebalancing constraints set by the Commission. Most network tariffs will fall in 2008 due to the combination of lower transmission tariffs and reductions in distribution tariffs achieved by Powercor.

1.4.1 Advanced Interval Meter Tariffs

The rollout of advanced interval metering technology is scheduled to commence in 2009. Powercor will be introducing dedicated interval meter tariffs to address this development. New tariffs will be devised in 2008 for implementation in 2009.

1.4.2 Reactive Demand Tariffs

Powercor Australia's 2006-10 Tariff Strategy Report outlined Powercor's intention to implement Reactive Demand Tariffs as an Excluded Service. The implementation of reactive demand tariffs is currently on hold until these tariff structures may be fully assessed in terms of advanced metering infrastructure.

1.5 Upper and Lower Bounds on Tariffs

Under clauses 2.3.16 and 3.3.6 of the *Determination*, Distributors are required to set distribution tariffs and transmission tariffs with regard to the following principles:

- *Lower Bound*: each tariff should be above the avoidable cost of serving customers assigned to that tariff;
- *Upper Bound*: each tariff should be below the cost of providing the service on a stand alone basis to customers assigned to that tariff; and
- *Impact*: each tariff should signal the impact of additional usage on future investment costs.

Powercor Australia engaged Harding Katz to undertake a detailed study to ensure all distribution tariffs were within the efficient cost window set by these upper and lower bounds. The Harding Katz report defined the cost of serving customers as the cost attributable to an 'average' customer within the class of customers covered by each tariff. Cost per customer was established net of fixed costs, sunk costs and general overheads and formulated as the sum of average usage costs and an allocation of fixed costs per customer.

The upper bound for tariffs was established by estimating the costs likely to be incurred by a notional efficient competitor to the network business. This approach was taken as economies of scale dictate that the stand-alone cost of providing for a single customer would set the upper bound so high as to provide no meaningful limit. The cost of providing for customers on a stand alone basis was then established as the network and usage costs of providing for an 'average' customer within each tariff.

Powercor Australia's tariffs fall within the efficient window established by these bounds, implying that tariffs allow a reasonable return on regulated assets without exceeding a level that may indicate the entity was taking advantage of its status as a regulated monopoly. Powercor Australia will continue to monitor its existing tariffs and all proposed new tariffs to ensure they remain efficient.

The requirement that tariffs signal the impact of additional usage on future investment costs are reflected in Powercor Australia's use of block tariffs. Incrementally increasing rates for high-demand users reflect the additional investment required for increased usage. Demand charges for larger customers reflect the network capacity requirements of these customers and enable investment to meet their needs.

1.6 Demonstration of How Prices Account for Future Investment Requirements

In setting of distribution and transmission tariffs distributors are required under clauses 2.3.16 and 3.3.6 of the *Determination* to, have regard to the principle that each tariff should signal the impact of additional usage on future investment costs.

Powercor Australia notes that the present state of metering technology imposes practical limitations on the precision of pricing signals that can be provided to customers. Data from the rollout of advanced interval meters will provide Powercor Australia with a more accurate profile of customer demand. To date this profiling has been limited due to an insufficient number of installed interval meters and insufficient data on usage patterns over time. Data made available from interval meters is expected to lead to more accurate predictions of future investment requirements. When more data is available for modelling Powercor Australia will reassess tariffs accordingly.

1.7 Excluded Service Charges and Prescribed Metering Service Charges

Powercor Australia's current schedule of Excluded Service charges can be found at:

<http://www.citipower.com.au/docs/pdf/Electricity%20Networks/Powercor%20Network/Powercor%20Excluded%20Services%20Schedule.pdf>

Excluded Service charges are updated from time to time to reflect increasing business costs. Price changes are submitted to the Commission for review and approval prior to taking effect.

1.7.1 Prescribed Metering Service Tariffs

Prescribed metering service tariffs are charged for the provision of meters and meter data services where the customer does not have a remotely read interval meter and either of the following conditions is met:

- The customer is a first tier customer and consumes less than 160MWh per annum; or
- The customer is a second tier customer who (subject to the National Electricity Rules) has a manually read interval meter, basic supply metering installation or unmetered supply installation

Powercor Australia's metering tariff structure for 2008 is provided in sections 1.7.1.1 and 1.7.1.2.

1.7.1.1 Meter Provision

The capital and operating costs of providing metering services is funded through meter provision charges. There are four types of charges to reflect differing costs to serve different meter classes:

- Single Phase Non-off peak
- Single Phase Off peak
- Poly Phase Direct Connect
- Three Phase CT

Powercor Australia will levy these charges per customers per NMI. The 2008 charges consist of a flat charge per NMI per annum. Customers receive the same charge irrespective of whether they are using an interval or accumulation meter.

1.7.1.2 Meter Data Services

The capital and operating costs of providing meter data services are funded through meter provision charges. There are three types of charges to reflect varying costs:

- Quarterly read meter
- Monthly read meter
- Unmetered supplies

Powercor Australia will levy read charges to customers on a per NMI basis and unmetered supplies charges on a per light basis. The 2008 charges are a flat charge per NMI (or light) per annum. Customers pay the same charge irrespective of whether they are using an interval or accumulation meter.

1.8 Reassignments

Powercor Australia does not intend to reassign customers between tariffs in 2008.

1.9 Demand Resets

Powercor Australia processed demand resets for 33 customers between January 1 and December 31 2006.

2. USAGE/QUANTITY INFORMATION

2.1 Quantities and Usage

Powercor Australia's customer numbers and consumption associated with each tariff for 2006 are shown in Table 5 of the Appendix.

Powercor Australia's forecast customer numbers and consumption associated with each tariff for 2008 are shown in Table 6 of the Appendix.

2.2 Network Constraints

Powercor Australia produces a Distribution System Planning Report each year that details network capacity issues and future network investment requirements at a zone substation and subtransmission level. Network capacity constraints are a significant business driver for Powercor Australia and a key driver of distribution costs. For more detailed information on network constraints please refer to Powercor Australia's Network Planning Report. The most recent report can be found at:

<http://www.powercor.com.au/docs/pdf/Electricity%20Networks/Powercor%20Network/Distribution%20Planning%20Report.pdf>

3. ANNUAL ADJUSTMENT VARIABLES

3.1 Adjustment Variables

Table 4: Annual Adjustment Variables

Variable	%
CPI	1.86%
X Factor	(2.5%)
L Factor	0.27%
M Factor	0%
S-Factor	(1.1587%)

3.2 Impact on Tariffs

Table 7 shows individual distribution and transmission tariff rebalancing constraints, calculated in accordance with the Commission's tariff approval process. These constraints define the allowable annual movement of individual tariffs.

4. RATIONALE FOR AMENDMENT

4.1 Comparison with Tariff Strategy Report

The key tariff development for 2008 will be the formulation of advanced interval meter tariffs for introduction in 2009. As the progress of advanced metering infrastructure was not fully foreseen in 2005, this development was not documented in the Tariff Strategy Report. Additionally, the Tariff Strategy Report predicts the introduction of reactive demand excluded service charge; however this has been deferred pending the implementation of advanced interval metering.

5. CONSULTATION

Powercor Australia has undertaken the following process in the development of the 2008 Annual Tariff Report:

- Regular updates and consultation regarding tariff issues with the Powercor and CitiPower Customer Consultative Committee (PACCCC), including extensive consultation regarding new tariffs
- Tariff Strategy Report made available to all stakeholders via the Powercor Australia website
- Maintenance of the Powercor Australia stakeholder register
- Informal consultation with larger retailers on tariff development and structure

Any customers, retailers or other interested parties who would like to be included on the stakeholder register are requested to email their details to register@powercor.com.au.

Powercor Australia intends to consult with the PACCCC and other key stakeholders on the Annual Tariff Report each year as part of its tariff development process. Further information regarding the future development of the Annual Tariff Reports will be provided to all parties on the stakeholder register.

Table 5: 2006 Actual Quantities by Tariff

Network Tariffs	Network Tariff Category	Customer No	Demand charges		Peak charges				Off Peak charges
			kW	kVA	Block1	Block 2	Block 3	Block 4	Block 1
					kWh	kWh	kWh	kWh	kWh
Residential Single Rate	D1	499,424	-	-	1,559,128,777	741,972,721	22,409,586	5,136,416	-
ClimateSaver	D1.CS	19,732	-	-	10,721,404	2,647,777	62,480	96	29,323,384
ClimateSaver Interval	D3.CS	849	-	-	421,645	74,309	12,194	-	925,738
Residential Two Rate 5d	D2	51,813	-	-	127,448,148	29,370,446	774,984	248,906	289,656,561
Docklands Two Rate 5d	D2.DK	577	-	-	1,777,573	369,534	109,899	59,451	2,433,882
Residential Interval	D3	1,887	-	-	3,108,758	1,192,172	455,741	655,448	5,119,614
Dedicated circuit	DD1	185,556	-	-	-	-	-	-	595,773,409
Hot Water Interval	D3.HW	987	-	-	142,337	18,172	2,208	-	1,385,276
Non-Residential Single Rate	ND1	48,009	-	-	92,260,347	117,950,280	63,626,583	26,196,607	-
Non-Residential Single Rate (R)	ND1.R	-	-	-	1	-	-	-	1
Non-Residential Two Rate 5d	ND2	36,140	-	-	106,073,140	242,526,338	253,987,083	171,095,642	659,214,080
Business Sunraysia	ND2.BS	-	-	-	1	-	-	-	1
Non-Residential Interval	ND5	958	-	-	2,255,695	3,937,982	3,875,598	1,942,795	8,314,634
Non-Residential Two Rate 7d	ND3	10,270	-	-	26,730,800	51,394,400	43,887,220	48,288,912	75,334,638
Unmetered supplies	PL2	6,125	-	-	25,641,946	-	-	-	64,028,449
Large Low Voltage Demand	DL	658	292,249	-	506,318,825	-	-	-	369,641,940
Large Low Voltage Demand A	DL.A	4	1,711	-	4,317,519	-	-	-	4,007,053
Large Low Voltage Demand C	DL.C	452	211,484	-	386,957,635	-	-	-	273,402,233
Large Low Voltage Demand S	DL.S	8	19,713	-	21,582,054	-	-	-	13,722,676
Large Low Voltage Demand Docklands	DL.DK	71	1,624	-	3,848,673	-	-	-	3,981,745
Large Low Voltage Demand CXX	DL.CXX	419	75,560	-	120,042,536	-	-	-	83,978,857
Large Low Voltage Demand EN.R	DL.R	-	-	-	1	-	-	-	1
Large Low Voltage Demand EN.NR	DL.NR	-	-	-	1	-	-	-	1
Large Low Voltage Demand EN.R CXX	DL.CXXR	-	-	-	1	-	-	-	1
Large Low Voltage Demand EN.NR CXX	DL.CXXN	-	-	-	1	-	-	-	1
High Voltage Demand	DH	92	237,101	-	474,291,909	-	-	-	425,507,061
High Voltage Demand A	DH.A	2	4,302	-	8,364,875	-	-	-	8,532,131
High Voltage Demand C	DH.C	47	125,249	-	280,592,224	-	-	-	251,552,987
High Voltage Demand D1	DH.D1	1	23,333	-	80,659,193	-	-	-	88,457,693
High Voltage Demand D2	DH.D2	1	12,378	-	37,086,543	-	-	-	41,503,395
High Voltage Demand Docklands	DH.DK	1	1,000	-	1,128,553	-	-	-	500,886
High Voltage Demand D3	DH.D3	1	14,491	-	23,518,039	-	-	-	19,437,944
High Voltage Demand D4	DH.D4	1	11,000	-	23,050,304	-	-	-	25,407,551
High Voltage Demand D5	DH.D5	-	-	-	1	-	-	-	1
High Voltage Demand EN.R	DH.R	-	-	-	1	-	-	-	1
High Voltage Demand EN.NR	DH.NR	-	-	-	1	-	-	-	1
Subtransmission Demand A	DS.A	3	34,407	-	117,015,500	-	-	-	106,725,456
Subtransmission Demand G	DS.G	3	68,656	-	208,794,490	-	-	-	216,752,090
Subtransmission Demand S	DS.S	2	92,410	-	173,657,430	-	-	-	221,963,793
Total		656,970	1,226,667	-	4,426,936,880	1,191,454,129	389,199,159	253,624,274	3,886,585,167

Table 6: 2008 Forecast Quantities by Tariff

Network Tariffs			Demand charge	Peak charge				Off Peak charge
Description	Code	Customer No	kW	Block1 kWh	Block 2 kWh	Block 3 kWh	Block 4 kWh	Block 1 kWh
Residential Single Rate	D1	511,479	-	1,558,174,555	760,546,966	23,023,630	4,842,555	-
ClimateSaver	D1.CS	19,911	-	12,864,334	3,175,442	55,399	149	25,175,010
ClimateSaver Interval	D3.CS	4,126	-	2,515,698	641,351	11,655	58	6,065,898
Residential Two Rate 5d	D2	52,308	-	129,939,277	32,315,074	982,069	262,804	274,246,862
Docklands Two Rate 5d	D2.DK	615	-	1,936,008	440,531	112,681	71,265	2,321,839
Residential Interval	D3	10,931	-	24,989,532	8,304,278	856,251	835,733	35,549,561
Dedicated circuit	DD1	179,625	-	-	-	-	-	551,764,939
Hot Water Interval	D3.HW	4,102	-	-	-	-	-	9,613,400
Non-Residential Single Rate	ND1	46,815	-	90,665,125	117,802,398	63,716,168	25,240,865	-
Non-Residential Single Rate (R)	ND1.R	-	-	1	-	-	-	1
Non-Residential Two Rate 5d	ND2	36,248	-	103,174,567	236,537,762	249,914,553	162,929,802	603,120,993
Business Sunraysia	ND2.BS	-	-	1	-	-	-	1
Non-Residential Interval	ND5	3,892	-	12,229,066	26,276,043	27,425,373	16,117,470	69,797,374
Non-Residential Two Rate 7d	ND3	9,904	-	23,533,953	45,615,344	40,196,140	46,531,092	66,133,331
Unmetered supplies	PL2	6,263	-	26,880,302	-	-	-	67,298,831
Large Low Voltage Demand	DL	673	312,724	536,482,241	-	-	-	392,780,903
Large Low Voltage Demand A	DL.A	4	1,782	4,689,236	-	-	-	4,391,078
Large Low Voltage Demand C	DL.C	461	217,947	412,020,806	-	-	-	285,801,747
Large Low Voltage Demand S	DL.S	69	19,306	22,136,740	-	-	-	13,737,396
Large Low Voltage Demand Docklands	DL.DK	8	2,747	4,492,467	-	-	-	4,593,566
Large Low Voltage Demand CXX	DL.CXX	500	86,823	150,213,294	-	-	-	104,977,522
Large Low Voltage Demand EN.R	DL.R	-	-	1	-	-	-	1
Large Low Voltage Demand EN.NR	DL.NR	3	581	5,068,149	-	-	-	3,236,607
Large Low Voltage Demand EN.R CXX	DL.CXXR	-	-	1	-	-	-	1
Large Low Voltage Demand EN.NR CXX	DL.CXXNR	-	-	1	-	-	-	1
High Voltage Demand	DH	98	235,759	498,931,655	-	-	-	438,054,931
High Voltage Demand A	DH.A	3	4,839	7,295,659	-	-	-	7,192,474
High Voltage Demand C	DH.C	48	126,661	307,571,824	-	-	-	273,898,706
High Voltage Demand D1	DH.D1	1	22,220	84,054,779	-	-	-	91,693,448
High Voltage Demand D2	DH.D2	1	12,523	39,398,767	-	-	-	42,942,864
High Voltage Demand Docklands	DH.DK	1	1,015	1,090,338	-	-	-	477,967
High Voltage Demand D3	DH.D3	1	14,660	21,284,193	-	-	-	19,840,767
High Voltage Demand D4	DH.D4	1	11,128	25,753,293	-	-	-	28,313,352
High Voltage Demand D5	DH.D5	-	-	1	-	-	-	1
High Voltage Demand EN.R	DH.R	-	-	1	-	-	-	1
High Voltage Demand EN.NR	DH.NR	-	-	1	-	-	-	1
Subtransmission Demand A	DS.A	3	45,796	119,800,016	-	-	-	104,449,649
Subtransmission Demand G	DS.G	3	69,059	202,351,680	-	-	-	207,295,950
Subtransmission Demand S	DS.S	2	92,787	191,300,466	-	-	-	242,822,113
Total		680,337	1,278,359	4,620,838,029	1,231,655,189	406,293,919	256,831,792	3,977,589,087

Table 7: DUOS and TUOS Rebalancing Constraints

Network Tariffs		DUOS Rebalancing	TUOS Rebalancing
Description	Code		
Residential Single Rate	D1	97.14%	103.90%
ClimateSaver	D1.CS	99.13%	103.90%
ClimateSaver Interval	D3.CS	99.30%	103.90%
Residential Two Rate 5d	D2	100.12%	103.90%
Docklands Two Rate 5d	D2.DK	100.39%	103.90%
Residential Interval	D3	100.33%	103.90%
Dedicated circuit	DD1	97.31%	103.90%
Hot Water Interval	D3.HW	97.31%	103.90%
Non-Residential Single Rate	ND1	100.85%	103.90%
Non-Residential Single Rate (R)	ND1.R	101.10%	103.90%
Non-Residential Two Rate 5d	ND2	98.92%	103.90%
Business Sunraysia	ND2.BS	97.04%	103.90%
Non-Residential Interval	ND5	98.87%	103.90%
Non-Residential Two Rate 7d	ND3	98.97%	103.90%
Unmetered supplies	PL2	98.46%	103.90%
Large Low Voltage Demand	DL	97.23%	103.90%
Large Low Voltage Demand A	DL.A	97.22%	103.90%
Large Low Voltage Demand C	DL.C	97.21%	103.90%
Large Low Voltage Demand S	DL.S	97.22%	103.90%
Large Low Voltage Demand Docklands	DL.DK	102.08%	103.90%
Large Low Voltage Demand CXX	DL.CXX	102.08%	103.90%
Large Low Voltage Demand EN.R	DL.R	102.06%	103.90%
Large Low Voltage Demand EN.NR	DL.NR	102.06%	103.90%
Large Low Voltage Demand EN.R CXX	DL.CXXR	102.06%	103.90%
Large Low Voltage Demand EN.NR CXX	DL.CXXNR	102.06%	103.90%
High Voltage Demand	DH	97.22%	103.90%
High Voltage Demand A	DH.A	97.20%	103.90%
High Voltage Demand C	DH.C	97.23%	103.90%
High Voltage Demand D1	DH.D1	100.75%	103.90%
High Voltage Demand D2	DH.D2	100.81%	103.90%
High Voltage Demand Docklands	DH.DK	97.23%	103.90%
High Voltage Demand D3	DH.D3	101.88%	103.90%
High Voltage Demand D4	DH.D4	101.81%	103.90%
High Voltage Demand D5	DH.D5	101.74%	103.90%
High Voltage Demand EN.R	DH.R	102.05%	103.90%
High Voltage Demand EN.NR	DH.NR	102.05%	103.90%
Subtransmission Demand A	DS.A	97.26%	103.90%
Subtransmission Demand G	DS.G	97.23%	103.90%
Subtransmission Demand S	DS.S	97.14%	103.90%